NATIONAL BANKING AUTHORITY
NBA/DOR/2026-27/112
December 15, 2026

National Banking Authority (Know Your Customer and Customer Due Diligence) Directions, 2026

Chapter I — Preliminary

1. Short Title and Commencement: These Directions shall be called the National Banking Authority (Know Your Customer and Customer Due Diligence) Directions, 2026, and shall come into force with effect from January 1, 2027.

2. Applicability: These Directions apply to every commercial bank, small finance bank, and non-banking financial company regulated by the Authority.

3. Definitions

(i) 'Customer Due Diligence (CDD)' means the process of identifying and verifying the customer and the beneficial owner using reliable and independent sources of identification.

(ii) 'Politically Exposed Person (PEP)' means an individual who is or has been entrusted with prominent public functions by a foreign country.

(iii) 'Suspicious Transaction Report (STR)' means a report filed with the Financial Intelligence Unit regarding a transaction suspected to involve proceeds of crime.

(iv) 'Beneficial Owner' means the natural person who ultimately owns or controls a customer, or on whose behalf a transaction is being conducted.

(v) 'Officially Valid Document (OVD)' means a document notified by the Authority as acceptable proof of identity or address for the purpose of CDD.

(vi) 'Walk-in Customer' means a person who does not have an account-based relationship with the bank but undertakes an occasional transaction.

(vii) 'Shell Bank' means a bank that has no physical presence in the country in which it is incorporated and licensed, and is unaffiliated with a regulated financial group.

(viii) 'Enhanced Due Diligence (EDD)' means additional CDD measures applied to customers assessed as high risk, including more frequent transaction monitoring and senior management approval.

(ix) 'Correspondent Banking Relationship' means the provision of banking services by one bank to another bank, including cash management, wire transfers, and payable-through accounts.

(x) 'Financial Intelligence Unit (FIU)' means the national agency responsible for receiving, analyzing, and disseminating information relating to suspected proceeds of crime.

(xi) 'Non-Face-to-Face Customer' means a customer onboarded through digital channels without physical presence at a branch.

(xii) 'Ultimate Beneficial Owner (UBO)' means, in the case of a legal entity customer, the natural person who holds, directly or indirectly, 10% or more of the entity's shares or voting rights, or who otherwise exercises control.

Chapter II — Customer Identification and Verification

4. Every regulated entity shall undertake Customer Due Diligence at the time of commencement of an account-based relationship, or while carrying out an occasional transaction of an amount equal to or exceeding ■50,000, whether conducted as a single transaction or several transactions that appear to be connected.

5. Where the customer is a Politically Exposed Person, the regulated entity shall obtain senior management approval before establishing the relationship and shall conduct enhanced ongoing monitoring of the relationship on a continuous basis.

6. The regulated entity shall not open an account or continue an existing account where it is unable to complete Customer Due Diligence, and shall consider filing a Suspicious Transaction Report where appropriate.

7. The regulated entity shall not establish a correspondent banking relationship with a Shell Bank, and shall satisfy itself that respondent banks do not permit their accounts to be used by Shell Banks.

8. Simplified due diligence may be applied to accounts opened under the Financial Inclusion scheme, subject to a maximum aggregate credit of ■1,00,000 per year and a maximum balance of ■50,000 at any point in time.

> *Explanation:* For the purposes of clause 4, 'occasional transaction' includes wire transfers, purchase of demand drafts, and currency exchange, whether or not the walk-in customer holds an account with the regulated entity.

> *Explanation:* For the purposes of clause 5, senior management approval must be obtained from an official not below the rank of General Manager, and shall be documented and retained as part of the customer's CDD file.

> *Explanation:* For the purposes of clause 8, exceeding either the annual credit limit or the balance limit shall require the account to be immediately upgraded to full CDD, failing which the account shall be frozen pending completion of KYC.

9. Periodicity of KYC Updation

The frequency of periodic KYC updation shall be determined by the customer's assessed risk category, as set out in Annexure I.

Risk Category	Updation Frequency	Applicable To
High Risk	Once every 2 years	PEPs, non-resident customers, trusts, NGOs, cash-intensive businesses
Medium Risk	Once every 8 years	Salaried individuals with regular banking patterns, SMEs
Low Risk	Once every 10 years	Government departments, PSUs, regulated financial institutions

Chapter III — Monitoring and Reporting

10. Every regulated entity shall maintain a system of ongoing monitoring of transactions to ensure that transactions are consistent with the entity's knowledge of the customer, the customer's business, and risk profile.

11. Where a transaction is identified as suspicious, the regulated entity shall file a Suspicious Transaction Report with the Financial Intelligence Unit within seven working days of establishing the suspicion, without informing the customer that a report has been made (a practice known as 'tipping off').

12. Cash transactions exceeding ■10,00,000, whether in a single transaction or series of connected transactions, shall be reported to the Financial Intelligence Unit as a Cash Transaction Report by the 15th of the succeeding month.

13. Failure to maintain adequate Customer Due Diligence records, or failure to file a Suspicious Transaction Report within the prescribed timeline, shall be treated as a material compliance failure and reported to the Authority within three working days of detection.

Chapter IV — Record Keeping

14. Records of all transactions, including Customer Due Diligence records, shall be maintained for a minimum period of five years following the termination of the account relationship or the date of the transaction, whichever is later.

15. Records shall be maintained in a manner that permits reconstruction of individual transactions and shall be made available to the Authority or other competent authorities upon request without undue delay.

16. Where an investigation is pending or litigation is contemplated involving a customer's account, the regulated entity shall retain records beyond the minimum period until the matter is concluded.

Chapter V — Board and Senior Management Responsibilities

17. The Board of Directors shall approve a Board-level KYC and Anti-Money Laundering policy, which shall be reviewed at least once every three years or earlier if warranted by regulatory changes.

18. The regulated entity shall designate a Principal Officer, not below the rank of General Manager, responsible for overall AML/CFT compliance and liaison with the Financial Intelligence Unit.

19. The Principal Officer shall submit a quarterly compliance report to the Board summarizing Suspicious Transaction Reports filed, Cash Transaction Reports filed, and the status of pending KYC updations.

20. An independent audit function shall assess the effectiveness of the entity's KYC and CDD controls at least once every twelve months, and findings shall be reported directly to the Audit Committee of the Board.

Chapter VI — Transitional Provisions

21. Existing customer accounts opened prior to the commencement of these Directions shall be brought into compliance within eighteen months of the commencement date.

22. Guidance notes and circulars issued by the Authority prior to these Directions on the subject of Know Your Customer norms stand repealed with effect from the commencement date, except as respects things done or omitted to be done before such repeal.

Chapter VII — Penalties

17. Non-compliance with these Directions shall attract monetary penalties as determined by the Authority, and may additionally result in restrictions on the regulated entity's business operations.

18. Repeated or wilful non-compliance shall be reported to the Board of Directors of the regulated entity and may result in the Authority directing removal of responsible senior management personnel.

(R. Venkataraman)
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